

Part I

Course Foundations

"The purpose of this course is not to teach students how to use artificial intelligence. It is to prepare strategic leaders capable of guiding organizations through one of the most significant technological transformations in modern economic history."

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Preface

Strategic Management at an Inflection Point

For more than half a century, strategic management has provided managers with frameworks for understanding competition, creating value, allocating scarce resources, and sustaining superior organizational performance. Concepts such as industry structure, competitive positioning, core competencies, dynamic capabilities, organizational learning, and stakeholder management have shaped executive decision making across virtually every sector of the global economy.

These theories remain among the most important intellectual contributions to management scholarship. They continue to explain why organizations differ in performance, why some firms consistently outperform competitors, and how managers create long-term value under conditions of uncertainty.

Yet strategy has entered a new era.

Artificial intelligence is transforming how organizations collect information, generate knowledge, make decisions, coordinate work, innovate, and compete. Unlike previous technological advances that primarily automated routine activities, modern AI increasingly performs cognitive work traditionally associated with managers, analysts, consultants, engineers, and knowledge professionals.

Organizations now operate in environments where intelligent systems generate strategic recommendations, evaluate investment alternatives, forecast markets, design products, optimize operations, write software, create marketing campaigns, and assist executive decision making.

These developments raise questions that classical strategy never fully anticipated.

- What constitutes a strategic resource when algorithms and foundation models are widely available?
- How should organizations develop competitive advantage when AI dramatically reduces the cost of prediction and information processing?
- What becomes of organizational learning when knowledge is increasingly generated collaboratively by humans and intelligent systems?
- How should firms govern artificial intelligence while maintaining innovation, trust, and ethical responsibility?
- Which assumptions of strategic management remain valid, and which require revision?

These questions define the intellectual foundation of this course.

Why This Course Exists

Most strategic management courses teach established frameworks developed during the twentieth century.

Most artificial intelligence courses focus on algorithms, programming, analytics, or emerging technologies.

Very few courses systematically examine how artificial intelligence changes the assumptions underlying strategic management itself.

This course was designed to bridge that gap.

Rather than treating AI as another topic within strategic management, students will examine how artificial intelligence reshapes the discipline's foundational theories.

Throughout the semester students will engage with two complementary bodies of knowledge.

The first consists of the foundational theories that define modern strategic management:

- Industrial Organization Economics
- Competitive Positioning
- The Resource-Based View
- Dynamic Capabilities
- Organizational Learning
- Knowledge-Based Theory of the Firm
- Core Competencies
- Transaction Cost Economics
- Stakeholder Theory
- Strategic Leadership

The second consists of contemporary scholarship examining artificial intelligence, digital transformation, organizational design, platform ecosystems, intelligent automation, and human–AI collaboration.

The objective is not to replace classical theory with contemporary technology.

Instead, students will critically evaluate where classical theories remain robust, where their assumptions require modification, and where entirely new theoretical perspectives may be necessary.

Course Philosophy

This course is founded upon one central belief:

The principles of strategic management remain essential, but the assumptions underlying many of those principles are being transformed by artificial intelligence.

Strategy has always concerned itself with creating value under conditions of uncertainty.

Artificial intelligence fundamentally changes the economics of information, prediction, experimentation, coordination, and knowledge creation.

Consequently, strategic leaders must rethink not only **how** organizations execute strategy, but increasingly **how strategy itself is formulated**.

Throughout the semester every major strategic framework will be examined through three complementary perspectives.

Perspective One — Classical Theory

Students first develop a deep understanding of the original theory, including its historical context, assumptions, empirical support, managerial implications, and continuing contributions to strategic management.

Understanding why these theories became influential remains essential.

Perspective Two — Critical Evaluation

Students then evaluate the limitations of each theory.

Questions include:

- Which assumptions continue to explain organizational performance?
- Which assumptions have weakened?
- Which assumptions were products of an earlier technological era?

Students learn to critique theories rather than simply memorize them.

Perspective Three — AI Extension

Finally, students examine how artificial intelligence reshapes the theory.

The emphasis is not on inserting AI into existing frameworks.

Instead, students ask how strategic management itself should evolve in response to intelligent systems, abundant data, digital ecosystems, autonomous agents, and continuous organizational learning.

The Central Question

Every lecture, discussion, reading, laboratory exercise, consulting milestone, and case analysis contributes toward answering one overarching question:

Which assumptions of classical strategic management remain valid in the age of artificial intelligence, which require modification, and which should be replaced by new theories of strategic management?

Students will revisit this question every week from multiple theoretical perspectives.

By the end of the semester they should be capable of developing their own evidence-based answer.

Educational Philosophy

This course is guided by six educational principles.

1. Classical Strategy Remains Essential

Artificial intelligence does not replace strategic management.

Rather, strategic management provides the conceptual foundation for understanding how AI changes organizations and competition.

2. Artificial Intelligence Changes Assumptions

Many strategic frameworks remain valid because they explain enduring economic phenomena.

However, AI changes assumptions regarding information processing, organizational learning, experimentation, decision making, and competitive dynamics.

Students therefore learn to reinterpret—not discard—classical theory.

3. Strategy Is Learned Through Application

Strategic thinking develops through repeated practice rather than memorization.

Students will analyze organizations, debate competing perspectives, evaluate evidence, defend recommendations, and communicate with executive audiences.

Accordingly, the course emphasizes:

- Case analysis

- Executive discussion
 - AI laboratories
 - Consulting engagements
 - Strategic writing
 - Board presentations
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4. Artificial Intelligence Is a Learning Partner

Students are encouraged to use artificial intelligence responsibly throughout the semester.

AI may assist with:

- brainstorming,
- literature synthesis,
- comparative analysis,
- executive communication,
- scenario planning,
- and strategic evaluation.

However, AI never replaces critical thinking.

Every recommendation submitted in this course must ultimately reflect the student's own reasoning, theoretical understanding, ethical judgment, and professional responsibility.

5. Responsible Leadership Matters

Organizations operate within broader social, legal, political, economic, and ethical systems.

Strategic leaders must therefore balance:

- innovation,
- governance,
- stakeholder interests,
- competitive advantage,
- sustainability,
- and responsible AI deployment.

These issues are integrated throughout every module rather than isolated within a single ethics unit.

6. Lifelong Learning Is a Strategic Capability

Artificial intelligence evolves continuously.

Specific tools will change.

Strategic thinking endures.

Accordingly, this course emphasizes transferable frameworks, scholarly reasoning, evidence-based decision making, and intellectual adaptability rather than software proficiency.

Learning Approach

The curriculum follows a consistent intellectual progression.

Each instructional module includes:

1. A strategic question.
2. Why the question matters.
3. Classical strategic theory.
4. Contemporary AI scholarship.
5. Comparative analysis.
6. Executive perspectives.
7. Applied organizational case.
8. AI laboratory.
9. Consulting milestone.
10. Reflection.

This repeated structure enables students to compare theories across contexts while progressively developing higher-order strategic reasoning.

Pedagogical Model

Learning occurs through the integration of four complementary perspectives.

Theory

Students engage directly with the foundational literature of strategic management.

Research

Students examine contemporary scholarship investigating artificial intelligence and organizational transformation.

Practice

Students analyze organizations through Harvard Business School cases, executive reports, and consulting frameworks.

Application

Students apply both classical theory and AI research within a semester-long consulting engagement for an existing organization.

Signature Learning Experience

The centerpiece of the course is the **AI Strategy Consulting Project**.

Working in consulting teams, students advise an existing organization on how artificial intelligence should influence its competitive strategy, organizational capabilities, governance, operating model, and long-term positioning.

Each weekly assignment contributes toward a cumulative consulting engagement.

The course concludes with:

- A professional consulting report.
- An executive presentation.
- A simulated Board of Directors meeting.

Students defend their recommendations using scholarly research, strategic theory, empirical evidence, and executive reasoning.

Expected Student Mindset

Students should approach this course as members of a corporate strategy group rather than passive learners.

Successful students will:

- Question assumptions.
- Compare competing theories.
- Evaluate evidence critically.
- Challenge AI-generated recommendations.
- Defend positions with scholarly support.
- Communicate professionally.
- Demonstrate ethical judgment.
- Continuously refine their thinking as new evidence emerges.

What Makes This Course Different

Traditional strategy courses focus on established frameworks.

Traditional AI courses focus on technologies.

This course focuses on the evolution of strategic management itself.

Students will not simply learn Porter, Barney, Teece, or March.

They will ask how each of these scholars might revise their theories if writing today.

Artificial intelligence is therefore treated not as a destination, but as a catalyst for rethinking strategy.

By the conclusion of the semester, students should possess not only a deep understanding of classical strategic management, but also the intellectual tools necessary to extend those theories for organizations

operating in an increasingly AI-enabled world.

Ultimately, this course invites students to become contributors to the next generation of strategic management thinking rather than merely consumers of existing knowledge.